In the given case, since the purchase of Plant and Machinery and disposal of Furniture and Fixtures do not fall in the criteria of exception mentioned above, the same **should be presented on a gross basis** as an outflow of ₹ 25 lakhs and an inflow of ₹ 4 lakhs. Presentation of **net cash outflow of ₹ 21 lakhs is not permitted** as per AS 3.

Cash Flow Statement by Direct Method

Question 8

From the following information, calculate cash flow from operating activities:

Summary of Cash Account for the year ended March 31, 20X1

Particulars	₹	Particulars	₹
To Balance b/d	1,00,000	By Cash Purchases	1,20,000
To Cash sales	1,40,000	By Trade payables	1,57,000
To Trade receivables	1,75,000	By Office & Selling Expenses	75,000
To Trade Commission	50,000	By Income Tax	30,000
To Sale of Investment	30,000	By Investment	25,000
To Loan from Bank	1,00,000	By Repayment of Loan	75,000
To Interest & Dividend	1,000	By Interest on loan	10,000
		By Balance c/d	1,04,000
	5,96,000		**5,96,000**

Answer

Cash Flow Statement for the year ended March 31, 20X1 (Direct Method)

Particulars	₹	₹
Operating Activities:		
Cash received from sale of goods	1,40,000	
Cash received from Trade receivables	1,75,000	
Trade Commission received	50,000	3,65,000
Less: Payment for Cash Purchases	1,20,000	
Payment to Trade payables	1,57,000	
Office and Selling Expenses	75,000	
Payment for Income Tax	30,000	(3,82,000)
Net Cash Flow used in Operating Activities		**(17,000)**

Question 9

The following summary cash account has been extracted from the company's accounting records:

Summary Cash Account

		(₹ '000)
Balance at 1.3.20X1		35

Receipts from customers		2,783
Issue of shares		300
Sale of fixed assets		128
		3,246
Payments to suppliers	2,047	
Payments for property, plant & equipment	230	
Payments for overheads	115	
Wages and salaries	69	
Taxation	243	
Dividends	80	
Repayments of bank loan	250	(3,034)
Balance at 31.3.20X2		212

Prepare Cash Flow Statement of this company Hills Ltd. for the year ended 31st March, 20X2 in accordance with AS-3 (Revised). The company does not have any cash equivalents.

Answer

Hills Ltd.

Cash Flow Statement for the year ended 31st March, 20X2 (Using direct method)

		(₹ '000)
Cash flows from operating activities		
Cash receipts from customers	2,783	
Cash payments to suppliers	(2,047)	
Cash paid to employees	(69)	
Other cash payments (for overheads)	(115)	
Cash generated from operations	552	
Income taxes paid	(243)	
Net cash from operating activities		309
Cash flows from investing activities		
Payments for purchase of fixed assets	(230)	
Proceeds from sale of fixed assets	128	
Net cash used in investing activities		(102)
Cash flows from financing activities		
Proceeds from issuance of share capital	300	
Bank loan repaid	(250)	
Dividend paid	(80)	
Net cash used in financing activities		(30)
Net increase in cash and cash equivalents		177
Cash and cash equivalents at beginning of period		35
Cash and cash equivalents at end of period		212

Question 10

Following is the cash flow abstract of Alpha Ltd. for the year ended 31st March, 20X1:

Cash Flow (Abstract)

Inflows	₹	Outflows	₹
Opening balance:		Payment for Account Payables	90,000
Cash	10,000	Salaries and wages	25,000
Bank	70,000	Payment of overheads	15,000
Share capital – shares issued	5,00,000	PPE acquired	4,00,000
Collection on account of Trade Receivables	3,50,000	Debentures redeemed	50,000
Sale of Property, plant and Equipment	70,000	Bank loan repaid	2,50,000
		Taxation	55,000
		Dividends	1,00,000
		Closing balance:	
		Cash	5,000
		Bank	10,000
	10,00,000		**10,00,000**

Prepare Cash Flow Statement for the year ended 31st March, 20X1 in accordance with Accounting Standard 3.

Answer

Cash Flow Statement for the year ended 31.3.20X1

	₹	₹
Cash flow from operating activities		
Cash received on account of trade receivables	3,50,000	
Cash paid on account of trade payables	(90,000)	
Cash paid to employees (salaries and wages)	(25,000)	
Other cash payments (overheads)	(15,000)	
Cash generated from operations	2,20,000	
Income tax paid	(55,000)	
Net cash generated from operating activities		1,65,000
Cash flow from investing activities		
Payment for purchase of Property, plant and equipment	(4,00,000)	
Proceeds from sale of Property, plant and equipment	70,000	
Net cash used in investment activities		(3,30,000)
Cash flow from financing activities		
Proceeds from issue of share capital	5,00,000	
Bank loan repaid	(2,50,000)	
Debentures redeemed	(50,000)	
Dividends paid	(1,00,000)	
Net cash used in financing activities		1,00,000
Net decrease in cash and cash equivalents		(65,000)

Cash and cash equivalents at the beginning of the year		80,000
Cash and cash equivalents at the end of the year		15,000

Question 11

Prepare cash flow statement of M/s MNT Ltd. for the year ended 31st March, 20X1 with the help of the following information:

(1) Company sold goods for cash only.

(2) Gross Profit Ratio was 30% for the year, gross profit amounts to ₹ 3,82,500.

(3) Opening inventory was lesser than closing inventory by ₹ 35,000.

(4) Wages paid during the year ₹ 4,92,500.

(5) Office and selling expenses paid during the year ₹ 75,000.

(6) Dividend paid during the year ₹ 30,000.

(7) Bank loan repaid during the year ₹ 2,15,000 (included interest ₹ 15,000).

(8) Trade payables on 31st March, 20X0 exceed the balance on 31st March, 20X1 by ₹ 25,000.

(9) Amount paid to trade payables during the year ₹ 4,60,000.

(10) Tax paid during the year amounts to ₹ 65,000 (Provision for taxation as on 31.03.20X1 ₹ 45,000).

(11) Investments of ₹ 7,00,000 sold during the year at a profit of ₹ 20,000.

(12) Depreciation on fixed assets amounts to ₹ 85,000.

(13) Plant and machinery purchased on 15th November, 20X0 for ₹ 2,50,000.

(14) Cash and Cash Equivalents on 31st March, 20X0 ₹ 2,00,000.

(15) Cash and Cash Equivalents on 31st March, 20X1 ₹ 6,07,500.

Answer

M/s MNT Ltd.

Cash Flow Statement for the year ended 31st March, 20X1 (Using direct method)

Particulars		₹	₹
Cash flows from Operating Activities			
Cash sales (₹ 3,82,500/.30)			12,75,000
Less: Cash payments for trade payables		(4,60,000)	
Wages Paid		(4,92,500)	
Office and selling expenses		(75,000)	(10,27,500)
Cash generated from operations before taxes			2,47,500
Income tax paid			(65,000)
Net cash generated from operating activities	(A)		1,82,500
Cash flows from investing activities			
Sale of investments (7,00,000 + 20,000)		7,20,000	
Payments for purchase of Plant & machinery		(2,50,000)	
Net cash used in investing activities	(B)		4,70,000

Cash flows from financing activities			
Bank loan repayment (including interest)		(2,15,000)	
Dividend paid		(30,000)	
Net cash used in financing activities	(C)		(2,45,000)
Net increase in cash (A + B + C)			4,07,500
Cash and cash equivalents at beginning of the period			2,00,000
Cash and cash equivalents at end of the period			6,07,500

Question 12

Prepare Cash flow for Gamma Ltd., for the year ending 31.3.20X1 from the following information:

(1) Sales for the year amounted to ₹ 135 crores out of which 60% was cash sales.

(2) Purchases for the year amounted to ₹ 55 crores out of which credit purchase was 80%.

(3) Administrative and selling expenses amounted to ₹ 18 crores and salary paid amounted to ₹ 22 crores.

(4) The Company redeemed debentures of ₹ 20 crores at a premium of 10%. Debenture holders were issued equity shares of ₹ 15 crores towards redemption and the balance was paid in cash. Debenture interest paid during the year was ₹ 1.5 crores.

(5) Dividend paid during the year amounted to ₹ 11.7 crores.

(6) Investment costing ₹ 12 crores were sold at a profit of ₹ 2.4 crores.

(7) ₹ 8 crores was paid towards income tax during the year.

(8) A new plant costing ₹ 21 crores was purchased in part exchange of an old plant. The book value of the old plant was ₹ 12 crores but the vendor took over the old plant at a value of ₹ 10 crores only. The balance was paid in cash to the vendor.

(9) The following balances are also provided:

	₹ in crores 1.4.20X0	**₹ in crores 31.3.20X1**
Debtors	45	50
Creditors	21	23
Bank	6	18.2

Answer

Gamma Ltd.

Cash Flow Statement for the year ended 31st March, 20X1 (Using direct method)

Particulars	**₹ in crores**	**₹ in crores**
Cash flows from operating activities		
Cash sales (60% of 135)	81	
Cash receipts from Debtors [45 + (135 x 40%) – 50]	49	
Cash purchases (20% of 55)	(11)	
Cash payments to suppliers [21 + (55 x 80%) – 23]	(42)	
Cash paid to employees	(22)	

Cash payments for overheads (Adm. and selling)	(18)	
Cash generated from operations	37	
Income tax paid	(8)	
Net cash generated from operating activities		29
Cash flows from investing activities		
Sale of investments (12 + 2.40)	14.4	
Payments for purchase of fixed assets (21 – 10)	(11)	
Net cash generated from investing activities		3.4
Cash flows from financing activities		
Redemption of debentures (22 – 15)	(7)	
Interest paid	(1.5)	
Dividend paid	(11.7)	
Net cash used in financing activities		(20.2)
Net increase in cash		12.2
Cash at beginning of the period		6.0
Cash at end of the period		18.2

Significant non-cash items:

(a) Debenture-holders received equity shares of ₹ 15 crores on redemption of the debentures.

(b) Plant having book value of ₹ 12 crores was given in exchange of an asset costing ₹ 21 crores. The said plant was transferred at ₹ 10 crores only, and ₹ 11 crores was paid for balance dues towards the plant.

Question 13

On the basis of following data, prepare Cash Flow Statement as per AS-3 for the year ended 31st March, 20X4:

- Total Sales for the year were ₹ 380 lakhs out of which Cash Sales amounted to ₹ 262 Lakhs.
- Receipts from credit customers during the year, total ₹ 134 lakhs.
- Total Purchases for the year amounted to ₹ 220 lakhs, out of which 80% were credit purchases.
- Opening balance in creditors ₹ 84 lakhs and Closing balance in creditors ₹ 92 lakhs.
- Suppliers of other consumables and services were paid ₹ 19 lakhs in cash.
- Employees of the enterprise were paid ₹ 20 lakhs in cash.
- Fully-paid preference shares of the face value of ₹ 32 lakhs were redeemed.
- Issued equity shares of the face value of ₹ 20 lakhs at a premium of 20%.
- Debenture of ₹ 20 lakhs at premium of 10% were redeemed by issuing equity share in lieu of their claims.
- ₹ 26 lakhs were paid by way of Income Tax.
- A new machinery costing ₹ 20 lakhs was purchased in a part exchange of an old machinery. The book value of the old machinery was ₹ 13 lakhs, but the vendor agreed to take over the old machinery at a higher value of ₹ 15 lakhs. The balance due to vendor was paid in cash.
- Dividend ₹ 15 lakhs was also paid on 30th March, 20X4.
- Debenture interest ₹ 3 lakhs was paid.

- During the year ₹ 8 lakhs rent was received from property held as investment.
- ₹ 0.50 lakh interest was earned on the advance payments to suppliers of Goods.
- Cash and cash equivalents on 1st April 20X3, ₹ 2 lakhs.

Answer

Cash flow statement (using direct method) for the year ended 31st March, 20X4

	₹ in lakhs	₹ in lakhs
Cash flow from operating activities		
Cash sales	262.00	
Cash collected from credit customers	134.00	
Interest received on advance payment to suppliers	0.50	
Less: Cash purchases	(44.00)	
Less: Payment to Creditors (84 + 176 – 92)	(168.00)	
Less: Cash paid to suppliers for consumables & services	(19.00)	
Less: Cash paid to employee	(20.00)	
Cash from operations	145.50	
Less: Income tax paid	(26.00)	
Net cash generated from operating activities		119.50
Cash flow from investing activities		
Payment for purchase of Machine (20 – 15)	(5.00)	
Proceeds from rent received	8.00	
Net cash used in investing activities		3.00
Cash flow from financing activities		
Redemption of Preference shares	(32.00)	
Proceeds from issue of Equity shares	24.00	
Debenture interest paid	(3.00)	
Dividend Paid	(15.00)	
Net cash used in financing activities		(26.00)
Net increase in cash and cash equivalents		96.50
Add: Cash and cash equivalents as on 1.4.20X3		2.00
Cash and cash equivalents as on 31.3.20X4		98.50

Question 14

From the following data of Vishnu Ltd., prepare cash flow statement from Operating activities using direct method as per AS 3:

	31.3.20X2 (₹)	31.3.20X1 (₹)
Current Assets:		
Inventory	1,20,000	1,65,000
Trade receivables	2,05,000	1,88,000

Cash & cash equivalents	35,000	20,500
Current Liabilities:		
Trade payables	1,95,000	2,15,000
Provision for tax	48,000	65,000

Summary of Statement of Profit and Loss

		31.3.20X2 (₹)
Sales	85,50,000	
Less: Cost of sales	(56,00,000)	29,50,000
Other Income:		
Interest income	20,000	
Fire insurance claim received	1,10,000	1,30,000
		30,80,000
Less: Depreciation	(24,000)	
Administrative and selling expenses	(15,40,000)	
Interest expenses	(36,000)	
Foreign exchange loss	(18,000)	(16,18,000)
Net Profit before tax and extraordinary income		14,62,000
Less: Income Tax		(95,000)
Net Profit		13,67,000

Additional information:

(i) Trade receivables and Trade payables include amounts relating to credit sale and credit purchase only.

(ii) Foreign exchange loss represents increment in liability of a long-term borrowing due to exchange rate fluctuation between acquisition date and balance sheet date.

Answer

Cash Flow Statement from operating activities of Vishnu Ltd. for year ended 31.3.X2 (Direct Method)

Particulars	**₹**	**₹**
Operating Activities:		
Cash received from Trade receivables (W.N. 3)		85,33,000
Less: Cash paid to Suppliers (W.N.2)	55,75,000	
Payment for Administration and Selling expenses	15,40,000	
Payment for Income Tax (W.N.4)	1,12,000	(72,27,000)
		13,06,000
Adjustment for extraordinary items (fire insurance claim)		1,10,000
Net Cash Flow from Operating Activities		**14,16,000**

Working Notes:

1. Calculation of total purchases

Cost of Sales = Opening stock + Purchases – Closing Stock

₹ 56,00,000 = ₹ 1,65,000 + Purchases – ₹ 1,20,000

Purchases = ₹ 55,55,000

2. Calculation of cash paid to Suppliers

Trade Payables

	₹		₹
To Bank A/c (balancing figure)	55,75,000	By Balance b/d	2,15,000
To Balance c/d	1,95,000	By Purchases (W.N. 1)	55,55,000
	57,70,000		57,70,000

3. Calculation of cash received from Customers

Trade Receivables

	₹		₹
To Balance b/d	1,88,000	By Bank A/c (balancing figure)	85,33,000
To Sales	85,50,000	By Balance c/d	2,05,000
	87,38,000		87,38,000

4. Calculation of tax paid during the year in cash

Provision for tax

	₹		₹
To Bank A/c (balancing figure)	1,12,000	By Balance b/d	65,000
To Balance c/d	48,000	By Profit and Loss A/c	95,000
	1,60,000		1,60,000

Question 15

The following are the extracts of Balance Sheet and Statement of Profit and Loss of Supriya Ltd.:

Extract of Balance Sheet

		Particulars	Notes	20X2 (₹'000)	20X1 (₹'000)
		Equity and Liabilities			
1		**Shareholder's funds**			
	(a)	Share capital	1	500	200
2		**Non- current liabilities**			
	(a)	Long term loan from bank		–	250
3		**Current liabilities**			
	(a)	Trade Payables		1,000	3,047
		Assets			
1		**Non-current assets**			
	(a)	Property, Plant and Equipment		230	128
2		**Current assets**			
	(a)	Trade receivables		2,000	4,783
	(b)	Cash & cash equivalents (Cash balance)		212	35

Extract of Statement of Profit and Loss

	Particulars	Notes	20X2 (₹'000)	20X1 (₹'000)
I	**Expenses:**			
	Employee benefits expense		69	25
	Other expenses	2	115	110
II	**Tax expense:**			
	Current tax (paid during year)		243	140

Notes to accounts

		20X2 (₹'000)	20X1 (₹'000)
1	**Share Capital**		
	Equity Shares of ₹10 each, fully paid up	500	200
2	**Other expenses**		
	Overheads	115	110

Prepare Cash Flow Statement of Supriya Ltd. for the year ended 31st March, 20X2 in accordance with AS-3 (Revised) using direct method. All transactions were done in cash only. There were no outstanding/prepaid expenses as on 31st March, 20X1 and on 31st March, 20X2. Ignore deprecation. Dividend amounting ₹ 80,000 was paid during the year ended 31st March, 20X2.

Answer

Supriya Ltd.

Cash Flow Statement for the year ended 31st March, 20X2 (Using direct method)

	(₹ '000)	(₹ '000)
Cash flows from operating activities		
Cash receipts from customers	2,783	
Cash payments to suppliers	(2,047)	
Cash paid to employees	(69)	
Other cash payments (for overheads)	(115)	
Cash generated from operations	552	
Income taxes paid	(243)	
Net cash from operating activities		309
Cash flows from investing activities		
Payments for purchase of Property, Plant and Equipment	(102)	
Net cash used in investing activities		(102)
Cash flows from financing activities		
Proceeds from issuance of share capital	300	
Bank loan repaid	(250)	
Dividend paid	(80)	
Net cash used in financing activities		(30)
Net increase in cash and cash equivalents		177
Cash and cash equivalents at beginning of period		35
Cash and cash equivalents at end of period		212

Cash Flow Statement by Indirect Method

Question 16

Prepare Cash Flow from Investing Activities of M/s. Creative Furnishings Limited for year ended 31.03.20X1.

Particulars	₹
Plant acquired by the issue of 8% Debentures	1,56,000
Claim received for loss of plant in fire	49,600
Unsecured loans given to subsidiaries	4,85,000
Interest on loan received from subsidiary companies	82,500
Pre-acquisition dividend received on investment made	62,400
Debenture interest paid	1,16,000
Term loan repaid	4,25,000
Interest received on investment (TDS of ₹ 8,200 was deducted on the above interest)	68,000
Book value of plant sold (loss incurred ₹ 9,600)	84,000

Answer

Cash Flow Statement from Investing Activities of M/s Creative Furnishings for year ended 31.03.20X1

Cash generated from investing activities	₹	₹
Interest on loan received	82,500	
Pre-acquisition dividend received on investment made	62,400	
Unsecured loans given to subsidiaries	(4,85,000)	
Interest received on investments (gross value)	76,200	
TDS deducted on interest	(8,200)	
Sale of plant	74,400	
Cash used in investing activities (before extraordinary item)		(1,97,700)
Extraordinary claim received for loss of plant		49,600
Net cash used in investing activities (after extraordinary item)		(1,48,100)

Note:

1. Debenture interest paid and Term Loan repaid are financing activities and, therefore, not considered for preparing cash flow from investing activities.
2. Plant acquired by issue of 8% debentures does not amount to cash outflow, hence also not considered in the above cash flow statement.

Question 17

From the following particulars calculate cash flows from Operating activities:

Particulars	₹
Retained earning	17,000
Depreciation	4,000
Loss on Sale of Machinery	3,000

Provision for tax	7,000
Interim Dividend paid during the year	10,000
Dividend paid during the year	8,000
Premium payable on redeemable Preference Shares	2,000
Profit on sale of investment	10,000
Refund of tax	1,000

Additional Information:

	31.03.X1 (₹)	31.03.X2 (₹)
Trade Receivable	10,000	12,000
Trade Payable	7,000	15,000
Provision for Tax	4,000	7,000
Prepaid Expenses	2,000	1,000
Outstanding Expenses	1,400	1,000

Answer

Calculation of Cash Flow from Operating Activities

Particulars	**Amount (₹)**
Retained earnings	17,000
Add: Depreciation	4,000
Add: Loss on sale of Machinery	3,000
Add: Premium Payable on redeemable Preference Shares	2,000
Add: Dividend paid	8,000
Add: Interim dividend paid during the year	10,000
Add: provision for tax made during the current year	7,000
Less: Refund of tax	(1,000)
Less: Profit on Sale of Investment	(10,000)
Operating Profit before Working Capital Changes	40,000
Add: Decrease in Prepaid Expenses	1,000
Less: Increase in Trade receivable	(2,000)
Add: Increase in Trade Payable	8,000
Less: Decrease in Outstanding Expenses	(400)
Cash generated from (Net of refund) operation	46,600
Less: Income tax paid (4,000 – 1,000)	(3,000)
Net Cash flow operating activities	**43,600**

Question 18

How will you disclose following items while preparing Cash Flow Statement of Gagan Ltd. as per AS-3 for the year ended 31st March, 20X2?

(i) 10% Debentures issued: As on 01-04-20X1 ₹ 1,10,000

As on 31-03-20X2 ₹ 77,000

(ii) Debentures were redeemed at 5% premium at the end of the year. Premium was charged to the Profit & Loss Account for the year.

(iii) Unpaid Interest on Debentures: As on 01-04-20X1 ₹ 275
As on 31-03-20X2 ₹ 1,175

(iv) Debtors of ₹ 36,000 were written off against the Provision for Doubtful Debts A/c during the year.

(v) 10% Bonds (Investments): As on 01-04-20X1 ₹ 3,50,000
As on 31-03-20X2 ₹ 3,50,000

(vi) Accrued Interest on Investments: As on 31-03-20X2 ₹ 10,500

Answer

Cash Flow Statement of M/s Gagan Ltd. for the year ended March 31, 20X2

Particulars		Amount (₹)
A	**Cash Flow from Operating Activities**	
	Net Profit as per Profit & Loss A/c	XXX
	Add: Premium on Redemption of Debentures	1,650
	Add: Interest on 10% Debentures	11,000
	Less: Interest on 10% Investments	(35,000)
B	**Cash Flow from Investing Activities**	
	Interest on Investments [35,000 – 10,500]	24,500
C	**Cash Flow from Financing Activities**	
	Interest on Debentures paid [11,000 – (1,175 – 275)] – Outflow	(10,100)
	Redemption of Debentures [(1,10,000 – 77,000) at 5% premium] – Outflow	(34,650)

Note: Debtors written off against provision for doubtful debts does not require any further adjustment in Cash Flow Statement

Question 19

Following are extracts of the Balance Sheets of Ajay Ltd.:

		Particulars	Notes	31.3.20X1 (₹)	31.3.20X2 (₹)
		Equity and Liabilities			
1		**Shareholder's funds**			
	(a)	Share capital	1	5,00,000	5,00,000
	(b)	Reserve & surplus	2	50,000	90,000
2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	5,00,000	7,50,000
3		**Current liabilities**			
	(a)	Other current liabilities	4	–	5,000
		Assets			
1		**Non-current assets**			
	(a)	Intangible assets	5	2,05,000	1,80,000

Notes to accounts

		31.3.20X1 (₹)	31.3.20X2 (₹)
1	**Share Capital**		
	50,000 Equity Shares of ₹10 each	5,00,000	5,00,000
2	**Reserve & surplus**		
	Profit & Loss A/c	50,000	90,000
3	**Long-term borrowings**		
	10% Debentures	5,00,000	7,50,000
4	**Other current liabilities**		
	Unpaid interest	–	5,000
5	**Intangible assets**		
	Goodwill	2,05,000	1,80,000

You are required to show the related items in Cash Flow Statement.

Answer

An Extract of Cash Flow Statement for the year ending 31.3.20X2

	₹
Cash flows from operating activities:	
Closing balance as per Profit & Loss A/c	90,000
Less: Opening balance as per Profit & Loss A/c	(50,000)
Add: Goodwill amortization	25,000
Add: Interest on Debentures (Refer Note 1)	75,000
Net Cash from Operating Activities:	1,40,000
Cash from Financing Activities	
Proceeds from debentures (Refer Note 2)	2,50,000
Interest paid on Debentures [less unpaid]	(70,000)
Net Cash from Financing Activities	1,80,000

Note 1: Interest has been computed on the closing balance of debentures as on 31.3.20X2 assuming that all the additions/deletions were made, if any, at the beginning of the year.

Note 2: **10% Debentures Account**

Particulars	₹	Particular	₹
To Balance c/d	7,50,000	By Balance b/d	5,00,000
		By Bank A/c (Bal. fig.)	2,50,000
	7,50,000		**7,50,000**

Question 20

Given below are the extracts of the Balance Sheet of BGH Limited:

Particulars	31st March, 20X4 (₹)	31st March, 20X3 (₹)
Share Capital	5,00,000	4,00,000

Profit & Loss Account	1,10,000	60,000
10% Debentures (issued at the end of the year)	1,00,000	–
Bank Loan	2,50,000	2,00,000
Trade Payable	60,000	75,000
Dividend Payable	–	50,000
Interest Payable on Bank Loan (Current Year)	25,000	20,000
Goodwill	1,20,000	1,50,000
Trade Receivables	65,000	95,000
Inventory	55,000	30,000

You are required to prepare for the year ended 31st March, 20X4:

(a) Cash Flow from Operating Activities.

(b) Cash Flow from Financing Activities.

Answer

(a) Cash Flow from Operating Activities for the Year Ended 31st March, 20X4

Particulars	**₹**
Cash Flow from Operating Activities	
Retained earnings (1,10,000 – 60,000)	50,000
Adjustments for non-cash items	
Goodwill Amortisation	30,000
Interest expenses	25,000
	1,05,000
Changes in Working Capital	
Decrease in Trade Receivables	30,000
Increase in Inventory	(25,000)
Decrease in Trade Payables	(15,000)
Cash Flow from Operating Activities	95,000

(b) Cash Flow from Financing Activities for the Year Ended 31st March, 20X4

Particulars	**₹**
Increase in Share Capital	1,00,000
Increase in Bank Loan	50,000
Issue of 10% Debentures	1,00,000
Dividend Paid	(50,000)
Interest Paid	(20,000)
Cash Flow from Financing Activities	**1,80,000**

Question 21

Following is balance sheet of Fox Ltd. You are required to prepare cash flow statement using indirect method.

		Particulars	Notes	31.3.20X2 (₹)	31.3.20X1 (₹)
		Equity and Liabilities			
1		**Shareholder's funds**			
	(a)	Share capital	1	5,60,000	3,00,000
	(b)	Reserve & surplus	2	35,000	25,000
2		**Current liabilities**			
	(a)	Trade Payables		1,50,000	60,000
	(b)	Short-term provisions (Provision for taxation)		8,000	5,000
				7,53,000	**3,90,000**
		Assets			
1		**Non-current assets**			
	(a)	Property, Plant & Equipment		3,50,000	1,80,000
2		**Current assets**			
	(a)	Inventories		1,20,000	50,000
	(b)	Trade receivables		1,00,000	25,000
	(c)	Cash & cash equivalents		1,05,000	90,000
	(d)	Other current asset		78,000	45,000
				7,53,000	**3,90,000**

Notes to Accounts

Particulars	31.3.20X2 (₹)	31.3.20X1 (₹)
1. Share capital		
(a) Equity share capital	4,10,000	2,00,000
(b) Preference share capital	1,50,000	1,00,000
	5,60,000	3,00,000
2. Reserve and surplus		
Surplus in statement of profit and loss at the beginning of the year	25,000	
Add: Profit of the year	20,000	
Less: Dividend	(10,000)	
Surplus in statement of profit and loss at the end of the year	35,000	25,000

Additional Information:

1. Dividend paid during the year ₹ 10,000
2. Depreciation charges during the year ₹ 40,000

Answer

Fox Ltd.

Cash Flow Statement for the year ended 31st March, 20X2

	₹	₹
Cash flows from operating activities		
Net Profit (35,000 less 25,000)	10,000	
Add: Dividend	10,000	

Provision for tax	8,000	
Net profit before taxation and extraordinary items	28,000	
Adjustments for:		
Depreciation	40,000	
Operating profit before working capital changes	68,000	
Increase in trade receivables	(75,000)	
Increase in inventories	(70,000)	
Increase in other current assets	(33,000)	
Increase in trade payables	90,000	
Cash used in operating activities	(20,000)	
Less: Tax paid*	(5,000)	
Net cash used in operating activities		(25,000)
Cash flows from investing activities		
Purchase of PPE	(2,10,000)	
Net cash used in investing activities		(2,10,000)
Cash flows from financing activities		
Issue of equity shares for cash	2,10,000	
Issue of preference shares	50,000	
Dividends paid	(10,000)	
Net cash generated from financing activities		2,50,000
Net increase in cash and cash equivalents		15,000
Cash and cash equivalents at beginning of period		90,000
Cash and cash equivalents at end of period		1,05,000

*Provision for tax of last year considered to be paid in the current year.

Working Note:

	₹
Property, plant and equipment acquisitions	
W.D.V. at 31.3.20X2	3,50,000
Add back:	
Depreciation for the year	40,000
	3,90,000
Less: W.D.V. at 31.3.20X1	1,80,000
Acquisitions during 20X1-20X2	2,10,000

Question 22

The following information is provided for Aarambh Limited:

Particulars	31st March 20X1 (₹)	31st March 20X2 (₹)
Profit and Loss a/c	5,400 (Dr.)	37,800
Provision for Taxation	2,21,400	1,35,000

General Reserve	54,000	81,000
12% Debentures	1,18,800	2,91,600
Trade Payables	1,29,600	1,18,800
8% Current Investments	54,000	1,08,000
Property, plant and equipment (Gross)	3,99,600	3,99,600
Accumulated Depreciation	1,29,600	1,62,000
Trade Receivables (Gross)	81,000	2,61,360
Provision for Doubtful Debts	27,000	54,000
Inventories	1,35,000	81,000
Cash and Cash Equivalents	5,400	30,240

Additional information:

(i) Income tax provided during the year ₹ 1,62,000.

(ii) New debentures have been issued at the end of current financial year.

(iii) New investments have been acquired at the end of the current financial year.

You are required to calculate net Cash Flow from Operating Activities.

Answer

Cash Flow from Operating Activities

	₹
Difference between Profit and Loss Account ₹ (37,800 + 5,400)	43,200
Add: Transfer to General Reserve (81,000 – 54,000)	27,000
Add: Adjustment for Provision for taxation	1,62,000
Profit Before tax	2,32,200
Add: Adjustment for Depreciation (₹ 1,62,000 – ₹ 1,29,600)	32,400
Add: Adjustment for provision for doubtful debt (₹ 54,000 – ₹ 27,000)	27,000
Add: Debenture Interest Paid ₹ (1,18,800 x 12%)	14,256
Less: Income from Investments (54,000 x 8%)	(4,320)
Operating Profit before Working Capital changes	3,01,536
Decrease in Inventories ₹ (1,35,000 – 81,000)	54,000
Increase in Trade receivables ₹ (2,61,360 – 81,000)	(1,80,360)
Decrease in Trade payables ₹ (1,29,600 – 1,18,800)	(10,800)
Cash generated from operations	1,64,376
Income tax paid	(2,48,400)
Net Cash generated from Operating Activities	**(84,024)**

Working Note: **Provision for taxation account**

Particulars	**₹**	**Particulars**	**₹**
To Cash (Paid) (Balancing figure)	2,48,400	By Balance b/d	2,21,400
To Balance c/d	1,35,000	By Profit and Loss A/c	1,62,000
	3,83,400		**3,83,400**

Question 23

Ms. Jyoti of Star Oils Limited has collected the following information for the preparation of cash flow statement for the year ended 31st March, 20X1:

	(₹ in lakhs)
Net Profit	25,000
Dividend paid	8,535
Provision for Income tax	5,000
Income tax paid during the year	4,248
Loss on sale of assets (net)	40
Book value of the assets sold	185
Depreciation charged to the Statement of Profit and Loss	20,000
Profit on sale of Investments	100
Carrying amount of Investment sold	27,765
Interest income received on investments	2,506
Interest expenses of the year	10,000
Interest paid during the year	10,520
Increase in Working Capital (excluding Cash & Bank Balance)	56,081
Purchase of Fixed assets	14,560
Investment in joint venture	3,850
Expenditure on construction work in progress	34,740
Proceeds from calls in arrear	2
Receipt of grant for capital projects	12
Proceeds from long-term borrowings	25,980
Proceeds from short-term borrowings	20,575
Opening cash and bank balance	5,003
Closing cash and bank balance	6,988

Prepare the Cash Flow Statement for the year ended 31st March 20X1 in accordance with AS 3. (Make necessary assumptions)

Answer

Star Oils Limited

Cash Flow Statement for the year ended 31st March, 20X1

		(₹ in lakhs)
Cash flows from operating activities		
Net profit before taxation (25,000 + 5,000)	30,000	
Adjustments for:		
Depreciation	20,000	
Loss on sale of assets (Net)	40	
Profit on sale of investments	(100)	
Interest income on investments	(2,506)	

Interest expenses	10,000	
Operating profit before working capital changes	57,434	
Changes in working capital (Excluding cash and bank balance)	(56,081)	
Cash generated from operations	1,353	
Income taxes paid	(4,248)	
Net cash used in operating activities		(2,895)
Cash flows from investing activities		
Sale of assets (W.N.)	145	
Sale of investments (27,765 + 100)	27,865	
Receipt of grant for capital projects	12	
Interest income on investments	2,506	
Purchase of fixed assets	(14,560)	
Investment in joint venture	(3,850)	
Expenditure on construction work-in progress	(34,740)	
Net cash used in investing activities		(22,622)
Cash flows from financing activities		
Proceeds from calls in arrear	2	
Proceeds from long-term borrowings	25,980	
Proceed from short-term borrowings	20,575	
Interest paid	(10,520)	
Dividend paid	(8,535)	
Net cash flow from financing activities		27,502
Net increase in cash and cash equivalents		1,985
Cash and cash equivalents at the beginning of the period		5,003
Cash and cash equivalents at the end of the period		6,988

Working note:

Book value of the assets sold	185
Less: Loss on sale of assets	(40)
Proceeds on sale	**145**

Question 24

From the following Balance sheet of Grow More Ltd., prepare Cash Flow Statement for the year ended 31st March, 20X1:

Particulars			Notes	31.3.20X1	31.3.20X0
Equity and Liabilities					
1	**Shareholder's funds**				
	(a)	Share capital		10,00,000	8,00,000
	(b)	Reserve & surplus	1	3,00,000	2,10,000

2	**Non-current liabilities**				
	(a)	Long term borrowings	2	2,00,000	
3	**Current liabilities**				
	(a)	Trade Payables		7,00,000	8,20,000
	(b)	Other current liabilities	3	–	1,00,000
	(c)	Short term provision (provision for tax)		1,00,000	70,000
				23,00,000	**20,00,000**
Assets					
1	**Non-current assets**				
	(a)	Property, Plant & Equipment	4	13,00,000	9,00,000
	(b)	Non current investment		1,00,000	–
2	**Current assets**				
	(a)	Inventories		4,00,000	2,00,000
	(b)	Trade receivables		5,00,000	7,00,000
	(c)	Cash & cash equivalents		–	2,00,000
				23,00,000	**20,00,000**

Notes to accounts

No.	Particulars	31.3.20X1	31.3.20X0
1	**Reserves and Surplus**		
	General reserve	2,00,000	1,50,000
	Profit and Loss account	1,00,000	60,000
	Total	**3,00,000**	**2,10,000**
2	**Long term borrowings**		
	Debentures (issued at end of year)	2,00,000	–
3.	**Other current liabilities**		
	Dividend payable	–	1,00,000
4	**Property, plant and equipment**		
	Plant and machinery	7,00,000	5,00,000
	Land and building	6,00,000	4,00,000
	Net carrying value	**13,00,000**	**9,00,000**

(i) Depreciation @ 25% was charged on the opening value of Plant and Machinery.

(ii) At the year end, one old machine costing ₹ 50,000 (WDV ₹ 20,000) was sold for ₹ 35,000. Purchase was also made at the year end.

(iii) ₹ 50,000 was paid towards Income tax during the year.

(iv) Construction of the building got completed on 31.03.20X1 and hence no depreciation may be charged on the same.

Answer

Cash Flow Statement of Grow More Ltd. for the year ended 31st March, 20X1

		₹

Cash Flow from Operating Activities		
Increase in balance of Profit and Loss Account (1,00,000 – 60,000)	40,000	
Provision for taxation (W.N.1)	80,000	
Transfer to General Reserve (2,00,000 – 1,50,000)	50,000	
Depreciation (W.N.2)	1,25,000	
Profit on sale of Plant and Machinery	(15,000)	
Operating Profit before Working Capital changes	2,80,000	
Increase in Inventories	(2,00,000)	
Decrease in Trade receivables	2,00,000	
Decrease in Trade payables	(1,20,000)	
Cash generated from operations	1,60,000	
Income tax paid	(50,000)	
Net Cash generated from operating activities		**1,10,000**
Cash Flow from Investing Activities		
Purchase of fixed assets	(3,45,000)	
Expenses on building (6,00,000 – 4,00,000)	(2,00,000)	
Increase in investments	(1,00,000)	
Sale of old machine	35,000	
Net Cash used in investing activities		**(6,10,000)**
Cash Flow from Financing activities		
Proceeds from issue of shares (10,00,000 – 8,00,000)	2,00,000	
Proceeds from issue of debentures	2,00,000	
Dividend paid	(1,00,000)	
Net cash generated from financing activities		**3,00,000**
Net decrease in cash and cash equivalents		(2,00,000)
Cash and Cash equivalents at the beginning of the year		2,00,000
Cash and Cash equivalents at the end of the year		Nil

Working Notes:

1. Provision for taxation account

Particulars	₹	Particulars	₹
To Cash (Paid)	50,000	By Balance b/d	70,000
To Balance c/d	1,00,000	By Profit and Loss, A/c (B.F.)	80,000
	1,50,000		**1,50,000**

2. Plant and Machinery account

Particulars	₹	Particulars	₹
To Balance b/d	5,00,000	By Depreciation	1,25,000
To Profit and Loss A/c (profit)	15000	By Cash (sale of machine)	35,000
To Cash (Balancing figure)	3,45,000	By Balance c/d	7,00,000
	8,60,000		**8,60,000**

Question 25

Ryan Ltd provides you the following information at the year-end, March 31, 20X1:

	₹	₹
Sales		6,98,000
Cost of Goods Sold		(5,20,000)
		1,78,000
Operating Expenses (including Depreciation Expense of ₹ 37,000)		(1,47,000)
		31,000
Other Income/(Expenses):		
Interest Expense paid	(23,000)	
Interest Income received	6,000	
Gain on Sale of Investments	12,000	
Loss on Sale of Plant	(3,000)	
		(8,000)
		23,000
Income tax		(7,000)
		16,000

Information available:

	31st March 20X1 (₹)	31st March 20X0 (₹)
Plant	7,15,000	5,05,000
Less: Accumulated Depreciation	(1,03,000)	(68,000)
	6,12,000	4,37,000
Investments (Long term)	1,15,000	1,27,000
Inventory	1,44,000	1,10,000
Trade receivables	47,000	55,000
Cash	46,000	15,000
Prepaid expenses	1,000	5,000
Share Capital	4,65,000	3,15,000
Reserves and surplus	1,40,000	1,32,000
Bonds	2,95,000	2,45,000
Trade payables	50,000	43,000
Outstanding liabilities	12,000	9,000
Income taxes payable	3,000	5,000

Analysis of selected accounts and transactions during 20X0-X1

1. Purchased investments for ₹ 78,000.
2. Sold investments for ₹ 1,02,000. These investments cost ₹ 90,000.
3. Purchased plant assets for ₹ 1,20,000.
4. Sold plant assets that cost ₹ 10,000 with accumulated depreciation of ₹ 2,000 for ₹ 5,000.
5. Issued ₹ 1,00,000 of bonds at face value in an exchange for plant assets on 31st March, 20X1.

6. Repaid ₹ 50,000 of bonds at face value at maturity.
7. Issued 15,000 shares of ₹ 10 each.
8. Paid cash dividends ₹ 8,000.

Prepare Cash Flow Statement as per AS-3 (Revised), using indirect method.

Answer

Ryan Ltd.

Cash Flow Statement for the year ending 31st March, 20X1

	₹	₹
Cash flows from operating activities		
Net profit before taxation	23,000	
Adjustments for:		
Depreciation	37,000	
Gain on sale of investments	(12,000)	
Loss on sale of plant assets	3,000	
Interest expense	23,000	
Interest income	(6,000)	
Operating profit before working capital changes	68,000	
Decrease in trade receivables	8,000	
Increase in inventory	(34,000)	
Decrease in prepaid expenses	4,000	
Increase in trade payables	7,000	
Increase in outstanding liabilities	3,000	
Cash generated from operations	56,000	
Income taxes paid*	(9,000)	
Net cash generated from operating activities		47,000
Cash flows from investing activities		
Purchase of plant	(1,20,000)	
Sale of plant	5,000	
Purchase of investments	(78,000)	
Sale of investments	1,02,000	
Interest received	6,000	
Net cash used in investing activities		(85,000)
Cash flows from financing activities		
Proceeds from issuance of share capital	1,50,000	
Repayment of bonds	(50,000)	
Interest paid	(23,000)	
Dividends paid	(8,000)	
Net cash from financing activities		69,000
Net increase in cash and cash equivalents		31,000

Cash and cash equivalents at the beginning of the period		15,000
Cash and cash equivalents at the end of the period		46,000

Significant non-cash adjustments: Issued ₹ 1,00,000 bonds at face value for acquisition of plant on 31.3.X1.

Working note:

Provision for taxation account

Particulars	₹	Particulars	₹
To Cash (Paid)	50,000	By Balance b/d	70,000
To Balance c/d	1,00,000	By Profit and Loss, A/c (B.F.)	80,000
	1,50,000		**1,50,000**

Question 26

The balance sheets of Sun Ltd. as at 31st March 20X1 and 20X0 were as:

Particulars	Notes	20X1 (₹)	20X0 (₹)
Equity and Liabilities			
1 Shareholder's funds			
(a) Share capital	1	60,000	50,000
(b) Reserve & surplus	2	5,000	4,000
2 Current liabilities			
(a) Trade Payables		4,000	2,500
(b) Other current liabilities	3	–	1,000
(c) Short term provision (provision for tax)		1,500	1,000
		70,500	**58,500**
Assets			
1 Non-current assets			
(a) Property, Plant & Equipment	4	39,500	29,000
2 Current assets			
(a) Current investments		2,000	1,000
(b) Inventories		17,000	14,000
(c) Trade receivables		8,000	6,000
(d) Cash & cash equivalents	5	4,000	8,500
		70,500	**58,500**

Notes to accounts

	Particulars	20X1 (₹)	20X0 (₹)
1	**Share Capital**		
	Equity Shares of ₹ 10 each	60,000	50,000
2	**Reserve & surplus**		
	Profit and Loss Account	5,000	4,000
3	**Other current liabilities**		

	Dividend Payable	–	1,000
4	**Property, plant and equipment (at WDV)**		
	Building	10,000	10,000
	Fixtures	17,000	11,000
	Vehicles	12,500	8,000
	Total	39,500	29,000
5	**Cash and cash equivalents**		
	Cash and Bank	4,000	8,500

The profit and loss statement for the year ended 31st March, 20X1 disclosed:

Particulars	₹
Profit before tax	4,500
Tax expense: Current tax	(1,500)
Profit for the year	3,000
Declared dividend	(2,000)
Retained Profit	1,000

Further information is available:

	Fixtures (₹)	Vehicles (₹)
Depreciation for the year	1,000	2,500
Disposals:		
Proceeds on disposal of vehicles	–	1,700
Written down value	–	(1,000)
Profit on disposal	–	700

Prepare a Cash Flow Statement for the year ended 31st March, 20X1.

Answer

Sun Ltd.

Cash Flow Statement for the year ended 31st March, 20X1

	₹	₹
Cash flows from operating activities		
Net Profit before taxation	4,500	
Adjustments for:		
Depreciation	3,500	
Profit on sale of vehicles (1,700 – 1,000)	(700)	
Operating profit before working capital changes	7,300	
Increase in Trade receivables	(2,000)	
Increase in inventories	(3,000)	
Increase in Trade payables	1,500	
Cash generated from operations	3,800	
Income taxes paid **(W.N.1)**	(1,000)	
Net cash generated from operating activities		2,800

Cash flows from investing activities		
Sale of vehicles	1,700	
Purchase of current investments	(1,000)	
Purchase of vehicles **(W.N.3)**	(8,000)	
Purchase of fixtures **(W.N.3)**	(7,000)	
Net cash used in investing activities		(14,300)
Cash flows from financing activities		
Issue of shares for cash	10,000	
Dividends paid **(W.N.2)**	(3,000)	
Net cash generated from financing activities		7,000
Net decrease in cash and cash equivalents		(4,500)
Cash and cash equivalents at beginning of period (See Note)		8,500
Cash and cash equivalents at end of period (See Note)		4,000
Note to the Cash Flow Statement		
Cash and Cash Equivalents	**31.3.20X1**	**31.3.20X0**
Bank and Cash	4,000	8,500
Cash and cash equivalents	4,000	8,500

Working Notes:

			₹
1.	**Income taxes paid**		
	Income tax expense for the year		1,500
	Add: Income tax liability at the beginning of the year		1,000
			2,500
	Less: Income tax liability at the end of the year		(1,500)
			1,000
2.	**Dividend paid**		
	Declared dividend for the year		2,000
	Add: Amount payable at the beginning of the year		1,000
			3,000
	Less: Amount payable at the end of the year		–
			3,000
3.	**Property, plant and equipment acquisitions**		
		Fixtures ₹	**Vehicles ₹**
	W.D.V. at 31.3.20X1	17,000	12,500
	Add back:		
	Depreciation for the year	1,000	2,500
	Disposals	–	1,000
		18,000	16,000
	Less: W.D.V. at 31.12.20X0	(11,000)	(8,000)
	Acquisitions during 20X0-20X1	**7,000**	**8,000**

Note: Current investments may not be readily convertible to a known amount of cash and may not be subject to an insignificant risk of changes in value as per the requirements of AS 3 and hence those have been considered as investing activities.

Question 27

ABC Ltd. gives you the Balance sheets as at 31st March 20X0 and 31st March 20X1. You are required to prepare Cash Flow Statement by using indirect method as per AS 3 for the year ended 31st March 20X1:

Particulars			Notes	31.3.20X0 (₹)	31.3.20X1 (₹)
Equity and Liabilities					
1	**Shareholder's funds**				
	(a)	Share capital		50,00,000	50,00,000
	(b)	Reserve & surplus		26,50,000	36,90,000
2	**Non-current liabilities**				
	(a)	Long term borrowings	1	–	9,00,000
3	**Current liabilities**				
	(a)	Short term borrowing (bank loan)		1,50,000	3,00,000
	(b)	Trade Payables		8,80,000	8,20,000
	(c)	Other current liabilities	2	4,80,000	2,70,000
				91,60,000	**1,09,80,000**
Assets					
1	**Non-current assets**				
	(a)	Property, Plant & Equipment	3	21,20,000	32,80,000
2	**Current assets**				
	(a)	Current investment		11,80,000	15,00,000
	(b)	Inventories		20,10,000	19,20,000
	(c)	Trade receivables	4	22,40,000	26,40,000
	(d)	Cash & cash equivalents		15,20,000	15,20,000
	(e)	Other current asset (prepaid expense)		90,000	1,20,000
				91,60,000	**1,09,80,000**

Notes to accounts

No.	Particulars	20X0	20X1
1	**Long term borrowings**		
	9% Debentures (issued at the end of year)	–	9,00,000
	Total	–	**9,00,000**
2.	**Other current liabilities**		
	Dividend payable	1,50,000	–
	Liabilities for expenses	3,30,000	2,70,000
	Total	**4,80,000**	**2,70,000**
3	**Property, plant and equipment**		

	Plant and machinery	27,30,000	40,70,000
	Less: Depreciation	(6,10,000)	(7,90,000)
	Net carrying value	**21,20,000**	**32,80,000**
4	**Trade receivables**		
	Gross amount	23,90,000	28,30,000
	Less: Provision for doubtful debts	(1,50,000)	(1,90,000)
	Total	**22,40,000**	**26,40,000**

Additional Information:

(i) Net profit for the year ended 31st March, 20X1, after charging depreciation ₹ 1,80,000 is ₹ 10,40,000.

(ii) Trade receivables of ₹ 2,30,000 were determined to be worthless and were written off against the provisions for doubtful debts account during the year

Answer

Cash Flow Statement of ABC Ltd. for the year ended 31.3.20X1

Cash flows from Operating Activities		₹	₹
Net Profit		10,40,000	
Add: Adjustment for Depreciation (₹ 7,90,000 – ₹ 6,10,000)		1,80,000	
Add: Adj. for Provision for Doubtful Debts (₹ 4,20,000 – ₹ 1,50,000)		2,70,000	
Operating Profit Before Working Capital Changes		14,90,000	
Add: Decrease in Inventories (₹ 20,10,000 – ₹ 19,20,000)		90,000	
		15,80,000	
Less: Increase in Current Assets			
Trade Receivables (₹ 30,60,000 – ₹ 23,90,000)	6,70,000		
Prepaid Expenses (₹ 1,20,000 – ₹ 90,000)	30,000		
Decrease in Current Liabilities:			
Trade Payables (₹ 8,80,000 – ₹ 8,20,000)	60,000		
Expenses Outstanding (₹ 3,30,000 – ₹ 2,70,000)	60,000	(8,20,000)	
Net Cash generated from Operating Activities			7,60,000
Cash Flows from Investing Activities			
Investment in Current Investments		(3,20,000)	
Purchase of Plant & Machinery (₹ 40,70,000 – ₹ 27,30,000)		(13,40,000)	
Net Cash Used in Investing Activities			(16,60,000)
Cash Flows from Financing Activities			
Bank Loan Raised (₹ 3,00,000 – ₹ 1,50,000)		1,50,000	
Issue of Debentures		9,00,000	
Payment of Dividend		(1,50,000)	
Net Cash Used in Financing Activities			9,00,000
Net Increase in Cash During the Year			–
Add: Cash and Cash Equivalents as on 1.4.20X0			15,20,000
Cash and Cash Equivalents as on 31.3.20X1			15,20,000

Notes:

(1) Bad debts amounting ₹ 2,30,000 were written off against provision for doubtful debts account during the year. In the above solution, Bad debts have been added back in the balances of provision for doubtful debts and trade receivables as on 31.3.20X1.

(2) Current investments (i.e. Marketable securities) may not be readily convertible to a known amount of cash and be subject to an insignificant risk of changes in value as per the requirements of AS 3 and hence those have been considered as investing activities.

Question 28

From the following Balance Sheets and information, prepare Cash Flow Statement of Ryan Ltd. by Indirect method for the year ended 31st March, 20X1:

Particulars			Notes	31st March, 20X1	31st March, 20X0
Equity and Liabilities					
1	**Shareholder's funds**				
	(a)	Share capital	1	6,00,000	7,00,000
	(b)	Reserve & surplus	2	4,20,000	3,00,000
2	**Non-current liabilities**				
	(a)	Long term borrowings	3	2,00,000	–
3	**Current liabilities**				
	(a)	Trade Payables		1,15,000	1,10,000
	(b)	Other current liabilities	4	30,000	80,000
	(c)	Short term provision (provision for tax)		95,000	60,000
				14,60,000	**12,50,000**
Assets					
1	**Non-current assets**				
	(a)	Property, Plant & Equipment	5	9,15,000	7,00,000
	(b)	Non current investment		50,000	80,000
2	**Current assets**				
	(a)	Inventories		95,000	90,000
	(b)	Trade receivables		2,50,000	2,25,000
	(c)	Cash & cash equivalents		50,000	90,000
	(d)	Other current asset		1,00,000	65,000
				14,60,000	**12,50,000**

Notes to accounts

No.			31st March, 20X1	31st March, 20X0
1.	**Share capital**			
	Equity share capital		6,00,000	5,00,000
	10% Redeemable Preference share Capital		–	2,00,000
	Total		**6,00,000**	**7,00,000**
2	**Reserves and Surplus**			

	Capital redemption reserve		1,00,000	–
	Capital reserve		70,000	–
	General reserve		1,50,000	2,50,000
	Profit and Loss account		1,00,000	50,000
	Total		**4,20,000**	**3,00,000**
3	**Long term borrowings**			
	9% Debentures		2,00,000	–
4	**Other current liabilities**			
	Dividend payable		–	60,000
	Liabilities for expenses		30,000	20,000
	Total		**30,000**	**80,000**
5	**Property, plant and equipment**			
	Plant and machinery		7,65,000	5,00,000
	Land and building		1,50,000	2,00,000
	Net carrying value		**9,15,000**	**7,00,000**

Additional Information:

(i) A piece of land has been sold out for ₹ 1,50,000 (Cost – ₹ 1,20,000) and the balance land was revalued. Capital Reserve consisted of profit on revaluation of land.

(ii) On 1st April, 20X0 a plant was sold for ₹ 90,000 (Original Cost – ₹ 70,000 and W.D.V. – ₹ 50,000) and Debentures worth ₹ 1 lakh were issued at par as part consideration for plant of ₹ 4.5 lakhs acquired.

(iii) Part of the investments (Cost – ₹ 50,000) was sold for ₹ 70,000.

(iv) Pre-acquisition dividend received ₹ 5,000 was adjusted against cost of investment.

(v) Interim dividend was declared and paid @ 15% during the current year.

(vi) Income-tax liability for the current year was estimated at ₹ 1,35,000.

(vii) Depreciation @ 15% has been charged on Plant and Machinery but no depreciation has been charged on Building.

Answer

Cash Flow Statement of Ryan Limited For the year ended 31st March, 20X1

	₹	₹
Cash flow from operating activities		
Net Profit before taxation (W.N.1)	2,75,000	
Adjustment for		
Depreciation (W.N.3)	1,35,000	
Profit on sale of land	(30,000)	
Profit on sale of plant (W.N.3)	(40,000)	
Profit on sale of investments (W.N.4)	(20,000)	
Interest on debentures (2,00,000 x 9%)	18,000	
Operating profit before working capital changes	3,38,000	
Increase in inventory	(5,000)	

Increase in trade receivables	(25,000)	
Increase in Other current assets (W.N.9)	(35,000)	
Increase in Trade payables	5,000	
Increase in liabilities for expenses	10,000	
Cash generated from operations	2,88,000	
Income taxes paid (W.N.8)	(1,00,000)	
Net cash generated from operating activities		1,88,000
Cash flow from investing activities		
Proceeds from sale of land (W.N.2)	1,50,000	
Proceeds from sale of plant (W.N.3)	90,000	
Proceeds from sale of investments (W.N.4)	70,000	
Purchase of plant (W.N.3)	(3,50,000)	
Purchase of investments (W.N.4)	(25,000)	
Pre-acquisition dividend received (W.N.4)	5,000	
Net cash used in investing activities		(60,000)
Cash flow from financing activities		
Proceeds from issue of equity shares (6,00,000 – 5,00,000)	1,00,000	
Proceeds from issue of debentures (2,00,000 – 1,00,000)	1,00,000	
Redemption of preference shares	(2,00,000)	
Dividends paid	(1,50,000)	
Interest paid on debentures	(18,000)	
Net cash used in financing activities		(1,68,000)
Net decrease in cash and cash equivalents		(40,000)
Cash and cash equivalents at the beginning of the year		90,000
Cash and Cash equivalents at the end of the year		50,000

Significant Non-cash Items: Debentures amounting to ₹ 1,00,000 have been issued as part consideration for acquisition of plant of ₹ 4,50,000.

Working Notes:

1. Net profit before taxation

	₹
Retained profit	1,00,000
Less: Balance as on 31.3.20X0	(50,000)
	50,000
Provision for taxation	1,35,000
Dividend	90,000
	2,75,000

2. Land and Building Account

Particulars	₹	Particulars	₹
To Balance b/d	2,00,000	By Cash (Sale)	1,50,000

To Profit and Loss A/c (Profit on sale)	30,000	By Balance c/d	1,50,000
To Capital reserve (Revaluation profit)	70,000		
	3,00,000		**3,00,000**

3. Plant and Machinery Account

Particulars	₹	Particulars	₹
To Balance b/d	5,00,000	By Cash (Sale)	90,000
To Profit and loss account	40,000	By Depreciation	1,35,000
To Debentures	1,00,000	By Balance c/d	7,65,000
To Bank	3,50,000		
	9,90,000		**9,90,000**

4. Investments Account

Particulars	₹	Particulars	₹
To Balance b/d	80,000	By Cash (Sale)	70,000
To Profit and loss	20,000	By Dividend (Pre acquisition)	5,000
To Bank (Balancing figure)	25,000	By Balance c/d	50,000
	1,25,000		**1,25,000**

5. Capital Reserve Account

Particulars	₹	Particulars	₹
To Balance c/d	70,000	By Land and building	70,000
	70,000		**70,000**

6. General Reserve Account

Particulars	₹	Particulars	₹
To Capital redemption reserve	1,00,000	By Balance b/d	2,50,000
To Balance c/d	1,50,000		
	2,50,000		**2,50,000**

7. Dividend payable Account

Particulars	₹	Particulars	₹
To Bank (Balancing figure)	1,50,000	By Balance b/d	60,000
To Balance c/d	-	By Profit and loss account	90,000
	1,50,000		**1,50,000**

8. Provision for Taxation Account

Particulars	₹	Particulars	₹
To Bank (Balancing figure)	1,00,000	By Balance b/d	60,000
To Balance c/d	95,000	By Profit and loss account	1,35,000
	1,95,000		**1,95,000**

9. Other Current Assets Account

Particulars	₹	Particulars	₹

To Balance b/d	65,000	By Balance c/d	1,00,000
To Bank (Balancing figure)	35,000		
	1,00,000		**1,00,000**

Question 29

The Balance Sheet of New Light Ltd. as at 31st March, 20X1 and 20X0 (for the years ended) are as follows:

Particulars	Notes	31st March, 20X0	31st March, 20X1
Equity and Liabilities			
1 Shareholder's funds			
(a) Share capital	1	16,00,000	18,80,000
(b) Reserve & surplus	2	8,40,000	11,00,000
2 Non-current liabilities			
(a) Long term borrowings	3	4,00,000	2,80,000
3 Current liabilities			
(a) Other current liabilities	4	6,00,000	5,20,000
(b) Short term provision (provision for tax)		3,60,000	3,40,000
		38,00,000	**41,20,000**
Assets			
1 Non-current assets			
(a) Property, Plant & Equipment	5	22,80,000	26,40,000
(b) Noncurrent investment		4,00,000	3,20,000
2 Current assets			
(a) Cash & cash equivalents		10,000	10,000
(b) Other current asset		11,10,000	11,50,000
		38,00,000	**41,20,000**

Notes to accounts

No.	Particulars		31st March, 20X0	31st March, 20X1
1.	**Share capital**			
	Equity share capital		12,00,000	16,00,000
	10% Preference share capital		4,00,000	2,80,000
	Total		**16,00,000**	**18,80,000**
2.	**Reserves and Surplus**			
	General reserve		6,00,000	7,60,000
	Profit and Loss account		2,40,000	3,40,000
	Total		**8,40,000**	**11,00,000**
3.	**Long term borrowings**			
	9% Debentures		4,00,000	2,80,000
	Total		**4,00,000**	**2,80,000**
4.	**Other current liabilities**			

	Dividend payable		1,20,000	–
	Current Liabilities		4,80,000	5,20,000
	Total		**6,00,000**	**5,20,000**
5.	**Property, plant and equipment**			
	Property, plant and equipment		32,00,000	38,00,000
	Less: Depreciation		(9,20,000)	(11,60,000)
	Net carrying value		**22,80,000**	**26,40,000**

Additional information:

(i) The company sold one property, plant and equipment for ₹ 1,00,000, the cost of which was ₹ 2,00,000 and the depreciation provided on it was ₹ 80,000.

(ii) The company also decided to write off another item of property, plant and equipment costing ₹ 56,000 on which depreciation amounting to ₹ 40,000 has been provided.

(iii) Depreciation on property, plant and equipment provided ₹ 3,60,000.

(iv) Company sold some investment at a profit of ₹ 40,000.

(v) Debentures and preference share capital redeemed at 5% premium. Debentures were redeemed at the year end. Premium was charged to the Profit & Loss Account for the year.

(vi) Company decided to value inventory at cost, whereas previously the practice was to value inventory at cost less 10%. The inventory according to books on 31.3.20X0 was ₹ 2,16,000. The inventory on 31.3.20X1 was correctly valued at ₹ 3,00,000.

Prepare Cash Flow Statement as per revised Accounting Standard 3 by indirect method.

Answer

New Light Ltd.

Cash Flow Statement for the year ended 31st March, 20X1

A.	**Cash Flow from operating activities**	**₹**	**₹**
	Profit after appropriation		
	Increase in profit and loss A/c after inventory adjustment		
	[₹ 3,40,000 – (₹ 2,40,000 + ₹ 24,000)]	76,000	
	Transfer to general reserve	1,60,000	
	Provision for tax	3,40,000	
	Net profit before taxation and extraordinary item	5,76,000	
	Adjustments for:		
	Depreciation	3,60,000	
	Loss on sale of property, plant and equipment	20,000	
	Decrease in value of property, plant and equipment	16,000	
	Profit on sale of investment	(40,000)	
	Premium on redemption of preference share capital	6,000	
	Interest on debentures	36,000	
	Premium on redemption of debentures	6,000	
	Operating profit before working capital changes	9,80,000	

	Increase in current liabilities (₹ 5,20,000 – ₹ 4,80,000)	40,000	
	Increase in other current assets [₹ 11,50,000 – (₹ 11,10,000 + ₹ 24,000)]	(16,000)	
	Cash generated from operations	10,04,000	
	Income taxes paid	(3,60,000)	
	Net Cash generated from operating activities		6,44,000
B.	**Cash Flow from investing activities**		
	Purchase of property, plant and equipment (W.N.3)	(8,56,000)	
	Proceeds from sale of property, plant and equipment (W.N.3)	1,00,000	
	Proceeds from sale of investments (W.N.2)	1,20,000	
	Net Cash used in investing activities		(6,36,000)
C.	**Cash Flow from financing activities**		
	Proceeds from issuance of share capital	4,00,000	
	Redemption of preference share capital (₹ 1,20,000 + ₹ 6,000)	(1,26,000)	
	Redemption of debentures (₹ 1,20,000 + ₹ 6,000)	(1,26,000)	
	Dividend paid	(1,20,000)	
	Interest on debentures	(36,000)	
	Net Cash generated from financing activities		(8,000)
	Net increase/decrease in cash and cash equivalent during the year		Nil
	Cash and cash equivalent at the beginning of the year		10,000
	Cash and cash equivalent at the end of the year		10,000

Working Notes:

1. Revaluation of inventory will increase opening inventory by ₹ 24,000 [(2,16,000/90) x 10].

Therefore, opening balance of other current assets would be: ₹ 11,10,000 + ₹ 24,000 = ₹ 11,34,000

Due to under valuation of inventory, the opening balance of P&L account be increased by ₹ 24,000.

Opening balance of P&L A/c after revaluation of inventory will be ₹ 2,40,000 + ₹ 24,000 = ₹ 2,64,000

2. **Investment Account**

Particulars	₹	Particulars	₹
To Balance b/d	4,00,000	By Bank A/c (b.f. invest. sold)	1,20,000
To Profit and Loss A/c (Profit)	40,000	By Balance c/d	3,20,000
	4,40,000		**4,40,000**

3. **Property, Plant and Equipment Account**

Particulars	₹	Particulars		₹
To Balance b/d	32,00,000	By Bank A/c (sale of assets)	1,00,000	
To Bank A/c (b.f.)	8,56,000	By Accum. depreciation A/c	80,000	
		By Profit and loss A/c (loss)	20,000	2,00,000
		By Accum. depreciation A/c	40,000	
		By P&L A/c (Loss)	16,000	56,000
		By Balance c/d		38,00,000
	40,56,000			**40,56,000**

4. Accumulated Depreciation Account

Particulars	₹	Particulars	₹
To Property, plant and equipment A/c	80,000	By Balance b/d	9,20,000
To Property, plant and equipment A/c	40,000	By P&L A/c (dep. for the year)	3,60,000
To Balance c/d	11,60,000		
	12,80,000		**12,80,000**

Question 30

The following figures have been extracted from the books of Manan Jo Limited for the year ended on 31.3.20X3. You are required to prepare the Cash Flow statement as per AS 3 using indirect method.

(i) Net profit before taking into account income tax and income from law suits but after taking into account the following items was ₹ 30 lakhs:

(a) Depreciation on Property, Plant & Equipment ₹ 7.50 lakhs.

(b) Discount on issue of Debentures written off ₹ 45,000.

(c) Interest on Debentures paid ₹ 5,25,000.

(d) Book value of investments ₹ 4.50 lakhs (Sale of Investments for ₹ 4,80,000).

(e) Interest received on investments ₹ 90,000.

(ii) Compensation received ₹ 1,35,000 by the company in a suit filed.

(iii) Income tax paid during the year ₹ 15,75,000.

(iv) 22,500, 10% preference shares of ₹ 100 each were redeemed on 02.04.20X2 at a premium of 5%. Premium is not charged to the Profit & Loss Account for the year.

(v) Further the company issued 75,000 equity shares of ₹ 10 each at a premium of 20% on 30.3.20X3 (Out of 75,000 equity shares, 25,000 equity shares were issued to a supplier of machinery)

(vi) Dividend for FY 20X1-X2 on preference shares were paid at the time of redemption.

(vii) Dividend on Equity shares paid on 31.01.20X3 for the year 20X1-20X2 ₹ 7.50 lakhs (including dividend distribution tax) and interim dividend paid ₹ 2.50 lakhs for the year 20X2-20X3.

(viii) Land was purchased on 02.4.20X2 for ₹ 3,00,000 for which the company issued 22,000 equity shares of ₹ 10 each at a premium of 20% to the land owner and balance in cash as consideration.

(ix) Current assets and current liabilities in the beginning and at the end of years were as detailed below:

	As on 1.4.20X2 (₹)	As on 31.3.20X3 (₹)
Inventory	18,00,000	19,77,000
Trade receivables	3,87,000	3,79,650
Cash in hand	3,94,450	16,950
Trade payables	3,16,500	3,16,950
Outstanding expenses	1,12,500	1,22,700

Answer

Manan Ltd.

Cash Flow Statement for the year ended 31st March, 20X3

	₹	₹
Cash flow from Operating Activities		
Net profit before income tax and extraordinary items:	30,00,000	
Adjustments for:		
Depreciation on Property, plant and equipment	7,50,000	
Discount on issue of debentures	45,000	
Interest on debentures paid	5,25,000	
Interest on investments received	(90,000)	
Profit on sale of investments	(30,000)	
Operating profit before working capital changes	42,00,000	
Adjustments for:		
Increase in inventory	(1,77,000)	
Decrease in trade receivable	7,350	
Increase in trade payables	450	
Increase in outstanding expenses	10,200	
Cash generated from operations	40,41,000	
Income tax paid	(15,75,000)	
Cash flow from ordinary items	24,66,000	
Cash flow from extraordinary items:		
Compensation received in a suit filed	1,35,000	
Net cash flow from operating activities		26,01,000
Cash flow from Investing Activities;		
Sale proceeds of investments	4,80,000	
Interest received on investments	90,000	
Purchase of land (3,00,000 less 2,64,000)	(36,000)	
Net cash flow from investing activities		5,34,000
Cash flow from Financing Activities		
Proceeds of issue of equity shares at 20% premium	6,00,000	
Redemption of preference shares at 5% premium	(23,62,500)	
Preference dividend paid	(2,25,000)	
Interest on debentures paid	(5,25,000)	
Dividend paid (7,50,000 + 2,50,000)	(10,00,000)	
Net cash used in financing activities		(35,12,500)
Net decrease in cash and cash equivalents during the year		(3,77,500)
Add: Cash and cash equivalents as on 31.3.20X2		3,94,450
Cash and cash equivalents as on 31.3.20X3		16,950

Cash Flow Statement of Sole Proprietor by Indirect Method

Question 31

From following information of Mr. Zen, prepare a Cash flow statement as per AS-3 for year ended 31.3.20X1:

Ledger balances of Mr. Zen as of 20X0 and 20X1

	1.4.20X0 (₹)	1.4.20X1 (₹)
Zen's Capital A/c	10,00,000	12,24,000
Trade payables	3,20,000	3,52,000
Mrs. Zen's loan	2,00,000	–
Loan from Bank	3,20,000	4,00,000
Land	6,00,000	8,80,000
Plant and Machinery (net block)	6,40,000	4,40,000
Inventories	2,80,000	2,00,000
Trade receivables	2,40,000	4,00,000
Cash	80,000	56,000

Additional information:

A machine costing ₹ 80,000 (accumulated depreciation there on ₹ 24,000) was sold for ₹ 40,000. The provision for depreciation on 1.4.20X0 was ₹ 2,00,000 and 31.3.20X1 was ₹ 3,20,000. The net profit for the year ended on 31.3.20X1 was ₹ 3,60,000.

Answer

Cash Flow Statement of Mr. Zen as per AS 3 for the year ended 31.3.20X1

		₹	₹
(i)	**Cash flow from operating activities**		
	Net Profit (given)	3,60,000	
	Adjustments for		
	Depreciation on Plant & Machinery (W.N.2)	1,44,000	
	Loss on Sale of Machinery (W.N.1)	16,000	
	Operating Profit before working capital changes	5,20,000	
	Decrease in inventories	80,000	
	Increase in trade receivables	(1,60,000)	
	Increase in trade payables	32,000	
	Net cash generated from operating activities		4,72,000
(ii)	**Cash flow from investing activities**		
	Sale of Machinery (W.N.1)	40,000	
	Purchase of Land (8,80,000 – 6,00,000)	(2,80,000)	
	Net cash used in investing activities		(2,40,000)
(iii)	**Cash flow from financing activities**		
	Repayment of Mrs. Zen's Loan	(2,00,000)	
	Drawings (W.N.3)	(1,36,000)	
	Loan from Bank	80,000	

Net cash used in financing activities		(2,56,000)
Net decrease in cash		(24,000)
Opening balance as on 1.4.20X0		80,000
Cash balance as on 31.3.20X1		56,000

Working Notes:

1. Plant & Machinery A/c

Particulars	₹	Particulars	₹
To Balance b/d (6,40,000 + 2,00,000)	8,40,000	By Cash (Sale)	40,000
		By Provision for Depreciation A/c	24,000
		By P&L A/c (80,000 – 64,000)	16,000
		By Bal. c/d (4,40,000 + 3,20,000)	7,60,000
	8,40,000		**8,40,000**

2. Provision for depreciation on Plant and Machinery A/c

	₹		₹
To Plant and Machinery A/c	24,000	By Balance b/d	2,00,000
To Balance c/d	3,20,000	By Profit & Loss A/c (Bal. fig.)	1,44,000
	3,44,000		**3,44,000**

3. To find out Mr. Zen's drawings:

	₹
Opening Capital	10,00,000
Add: Net Profit	3,60,000
	13,60,000
Less: Closing Capital	(12,24,000)
Drawings	**1,36,000**

Cash Flow Statement by Both Direct and Indirect Method

Question 32

Given below are the relevant extracts of the Balance Sheet and the Statement of Profit and Loss of ABC Ltd. along with additional information:

Extract of Balance sheet **(₹ in lakhs)**

		Particulars	Notes	31.3.20X1	31.3.20X0
		Equity and Liabilities			
1		**Current liabilities**			
	(a)	Trade Payables		250	230
	(b)	Short term Provisions	1	200	180
	(c)	Other current liabilities	2	70	50
		Assets			

1		**Current assets**			
	(a)	Inventories		200	180
	(b)	Trade Receivables		400	250
	(c)	Other current assets	3	195	180

Statement of Profit and Loss of ABC Ltd. for the year ended 31st March, 20X1

	Particulars	**Notes**	**₹ in lakhs**
I	Revenue from operations		4,150
II	Other income	4	100
III	Total income (I + II)		**4,250**
	Expenses:		
	Purchases of Stock-in-Trade		2,400
	Change in inventories of finished goods		(20)
	Employee benefits expense		800
	Depreciation expense		100
	Finance cost	5	60
	Other expenses		200
IV	**Total expenses**		**3,540**
V	Profit before tax (III – IV)		710
VI	Tax expense:		
	Current tax		200
VII	**Profit for the year from continuing operations**		**510**

Appropriations

Balance of Profit and Loss account brought forward	50
Transfer to general reserve	200
Dividend paid	330

Notes to accounts: **(₹ in lakhs)**

		20X1	**20X0**
1	**Short term Provisions:**		
	Provision for Tax	200	180
2	**Other current liabilities:**		
	Outstanding wages	50	40
	Outstanding expenses	20	10
	Total	70	50
3	**Other current assets:**		
	Advance tax	195	180
4	**Other income:**		
	Interest and dividend	100	
5	**Finance cost:**		
	Interest	60	

Compute cash flow from operating activities using both direct and indirect method.

Answer

Cash Flows from Operating Activities

Using Direct Method		**₹ in lakhs**
Cash Receipts:		
Cash sales and collection from Trade Receivables (Sales + Opening T/R – Closing T/R) [4,150 + 250 – 400]		4,000
Cash payments:		
Cash purchases & payment to Trade payables (Purchases + Opening T/P – Closing T/P) [2,400 + 230 – 250]		(2,380)
Wages and salaries paid (800 + 40 – 50)		(790)
Cash expenses (200 + 10 – 20)		(190)
Cash generated from operations		640
Taxes paid (Advance tax)		(195)
Cash flow from operating activities		**445**
Using Indirect Method		**₹ in lakhs**
Profit before tax		710
Add: Non-cash items: Depreciation		100
Add: Interest: Financing cash inflow		60
Less: Interest and Dividend: Investment cash outflow		(100)
Operating profit before working capital changes		770
Working capital adjustments:		
Trade receivables [250 – 400]	(150)	
Inventories [180 – 200)]	(20)	
Trade payables [250 – 230]	(20)	
Outstanding wages [50 – 40]	(10)	
Outstanding expenses [20 – 10]	(10)	(130)
Cash generated from operations		640
Less: Tax paid		(195)
Cash flow from operating activities		**445**

Miscellaneous

Question 33

Z Ltd. has no Foreign Currency Cash Flow during the reporting period. It held a deposit in a bank in France. The balances as at the beginning of the year and at the end of the year were € 100,000 and € 105,000 respectively. The exchange rate at the beginning of the year was € 1 = ₹ 82, and at the end of the year was € 1 = ₹ 85. The increase in the deposit balance of € 5,000 was on account of interest credited on the last day of the reporting period. The deposit was reported at ₹ 82,00,000 in the opening balance sheet and at ₹ 89,25,000 in the closing balance sheet. You are required to show how these transactions would be presented

in the Cash Flow Statement as per AS 3.

Answer

The Statement of Profit and Loss was credited on account of:

Interest Income: € 5,000 x ₹ 85 **= ₹ 4,25,000**

Exchange difference = € 100,000 x (₹ 85 – ₹ 82) **= ₹ 3,00,000**

In preparing the Cash Flow Statement, the **exchange difference** of ₹ 3,00,000 should be **deducted from the Net Profit** before taxes, since it is a non-cash item. However, in order to reconcile the opening balance of the Cash and Cash Equivalents with its closing balance, the Exchange Difference of ₹ 3,00,000 should be **added to the opening balance** in a Note to the Cash Flow Statement.,

Cash Flows arising from transactions in a Foreign Currency shall be recorded in Z Ltd.'s reporting currency by applying to the foreign currency amount the exchange rate between the reporting currency and the foreign currency at the date of the cash flow.

CHAPTER - 6
AS 4: Contingencies and Events Occurring After the Balance Sheet Date

Events Occurring After Balance Sheet Date

Question 1

A Limited Company closed its accounting year on 30.6.20X1 and the accounts for that period were considered and approved by the board of directors on 20th August, 20X1. The company was engaged in laying pipeline for an oil company deep beneath the earth. While doing the boring work on 1.9.20X1 it had met a rocky surface for which it was estimated that there would be an extra cost to the tune of ₹ 80 lakhs. You are required to state with reasons, how the event would be dealt with in the financial statements for the year ended 30.6.20X1.

Answer

AS 4 (Revised) on Contingencies and Events Occurring after the Balance Sheet Date defines 'events occurring after the balance sheet date' as 'significant events, both favourable and unfavourable, that occur between the balance sheet date and the date on which financial statements are approved by the Board of Directors in the case of a company'. The given case is discussed in the light of the above-mentioned definition and requirements given in AS 4 (Revised). In this case the incidence, which was expected to push up cost, became **evident after the date of approval of the accounts**. So, it is **not an 'event occurring after the balance sheet date'.**

Types of Events Occurring After Balance Sheet Date

Question 2

In X Co. Ltd., theft of cash of ₹ 5 lakhs by the cashier in January, 20X1 was detected only in May, 20X1. The accounts of the company were not yet approved by the Board of Directors of the company.

Decide whether the theft of cash has to be adjusted in the accounts of the company for the year ended 31.3.20X1.

Answer

As per **AS 4** (Revised) 'Contingencies and Events occurring after the Balance Sheet Date', an event occurring after the balance sheet date may require adjustment to the reported amounts of assets, liabilities, expenses or incomes.

If a **fraud** of the accounting period is **detected after the balance sheet date but before approval** of the financial statements, it is **necessary to recognise the loss** amounting **₹ 5,00,000** and **adjust** the accounts of the company for the year ended 31st March, 20X1.

Question 3

A company has filed a legal suit against the debtor from whom ₹ 15 lakh is recoverable as on 31.3.20X1. The chances of recovery by way of legal suit are not good as per legal opinion given by the counsel in April, 20X1. Can the company provide for full amount of ₹ 15 lakhs as provision for doubtful debts? Discuss.

Answer

As per **AS 4** (Revised) "Contingencies and Events Occurring After the Balance Sheet Date", **assets and liabilities** should be **adjusted** for events **occurring after the balance sheet** date that provide **additional evidence** to assist the estimation of amounts relating to **conditions existing at the balance sheet date**. In the given case, company should make the provision for doubtful debts, as legal suit has been filed on 31st March, 20X1 and the chances of recovery from the suit are not good. Though, the actual result of legal suit will be known in future yet situation of non-recovery from the debtors exists before finalisation of financial statements. Therefore, **provision for doubtful debts should be made** for the year ended on 31st March, 20X1.

Question 4

While preparing its final accounts for the year ended 31st March, 20X1 a company made a provision for bad debts @ 5% of its total trade receivables. In the last week of February, 20X1 a trade receivable for ₹ 2 lakhs had suffered heavy loss due to an earthquake; the loss was not covered by any insurance policy. In April, 20X1 the trade receivable became a bankrupt. Can the company provide for the full loss arising out of insolvency of the trade receivable in the final accounts for the year ended 31st March, 20X1?

Answer

As per **AS 4**, Assets and Liabilities should be adjusted for events occurring after the balance sheet date that provide additional evidence to assist estimation of amounts relating to conditions existing at the balance sheet date.

So **full provision** for bad debt amounting to **₹ 2 lakhs should be made** to cover the loss arising due to the insolvency in the Final Accounts for the year ended 31st March, 20X1. It is **because** earthquake **took place before the balance sheet date**.

Question 5

A Ltd. has sold its building for ₹ 50 lakhs to B Ltd. and has also given the possession to B Ltd. The book value of the building is ₹ 30 lakhs. As on 31st March, 20X1, the documentation and legal formalities are pending. The company has not recorded the sale and has shown the amount received as advance. Do you agree with this treatment?

Answer

The economic reality and substance of the transaction is that the rights and beneficial interest in the property has been transferred although legal title has not been transferred. A Ltd. **should record the sale** and **recognise the gain** of ₹ 20 lakhs in its profit and loss account. The **building should be derecognized** in the financial statements.

Question 6

During the year 20X1-20X2, Raj Ltd. was sued by a competitor for ₹ 15 lakhs for infringement of a trademark. Based on the advice of the company's legal counsel, Raj Ltd. provided for a sum of ₹ 10 lakhs in its financial statements for the year ended 31st March, 20X2. On 18th May, 20X2, the Court decided in favour of the party alleging infringement of the trademark and ordered Raj Ltd. to pay the aggrieved party a sum of ₹ 14 lakhs.

The financial statements were prepared by the company's management on 30th April, 20X2, and approved by the board on 30th May, 20X2.

Answer

As per **AS 4** (Revised), **adjustments to assets and liabilities** are required for **events occurring after the balance sheet date** that provide additional information materially affecting the determination of the amounts relating to **conditions existing at the balance sheet date**.

In the given case, since Raj Ltd. was sued by a competitor for infringement of a trademark during the year 20X1-X2 for which the provision was also made by it, the decision of the Court on 18th May, 20X2, for payment of the penalty will **constitute as an adjusting event** because it is an event occurred before approval of the financial statements. Therefore, Raj Ltd. **should adjust** the **provision upward by ₹ 4 lakhs** to reflect the award decreed by the Court to be paid by them to its competitor.

Question 7

A case is going on between ABC Ltd. and Tax department on claiming the exemption for certain items, for the year 20X1-20X2. The court has issued the order on 15th April and rejected the claim of the company. Accordingly, company is liable to pay the additional tax. The financial statements were approved on 31st May, 20X2. Shall company account for such tax in the year 20X1-20X2 or shall it account for in the year 20X2-20X3?

Answer

To decide whether, the event is adjusting or not adjusting two conditions need to be satisfied,

(a) There has to be evidence

(b) The event must have been related to period ending on reporting date.

Here both the conditions are satisfied. Court order is conclusive evidence which has been received before approval of the financial statements since the liability is related to earlier year. The event will be considered as an **adjusting event** and accordingly the amount will be **adjusted in accounts of 20X1-20X2**.

Question 8

In preparing the financial statements of R Ltd. for the year ended 31st March, 20X1, you come across the following information. State with reasons, how you would deal with this in the financial statements:

The company invested ₹ 100 lakhs in April, 20X1 before approval of Financial Statements by the Board of directors in the acquisition of another company doing similar business, the negotiations for which had started during the year.

Answer

AS 4 (Revised) defines "Events Occurring after the Balance Sheet Date" as those significant events, both favourable and unfavourable, that occur between the balance sheet date and the date on which the financial statements are approved by the Approving Authority in the case of a company. Accordingly, the **acquisition of another company is an event occurring after the balance sheet date**. However, **no adjustment to assets and liabilities** is required as the event does not affect the determination and the condition of the amounts stated in the financial statements for the year ended 31st March, 20X1. The **disclosure** should be made in the **report of the approving authority** of those events occurring after the balance sheet date that represent

material changes and commitments affecting the financial position of the enterprise, the investment of ₹ 100 lakhs in April, 20X1 for the acquisition of another company **should be disclosed in the report of the Approving Authority** to enable users of financial statements to make proper evaluations and decisions.

Question 9

An earthquake destroyed a major warehouse of ACO Ltd. on 20.5.20X2. The accounting year of the company ended on 31.3.20X2. The accounts were approved on 30.6.20X2. The loss from earthquake is estimated at ₹ 30 lakhs. State with reasons, whether the loss due to earthquake is an adjusting or non-adjusting event and how the fact of loss is to be disclosed by the company.

Answer

AS 4 (Revised) "Contingencies and Events Occurring after the Balance Sheet Date", states that **adjustments** to assets and liabilities are **not appropriate** for events occurring after the balance sheet date, if such events do **not relate to conditions existing at the balance sheet date**. The **destruction of warehouse** due to **earthquake** did **not exist on the balance sheet date** i.e. 31.3.20X2. Therefore, **loss** occurred due to earthquake is **not to be recognised** in the financial year **20X1-20X2**.

However, according to the standard, unusual changes affecting the existence or substratum of the enterprise after the balance sheet date may indicate a need to consider the use of fundamental accounting assumption of going concern in the preparation of the financial statements. As per the information given in the question, the earthquake has caused major destruction; therefore, fundamental accounting assumption of going concern would have to be evaluated. Considering that the going concern assumption is still valid, the fact of earthquake together with an estimated loss of ₹ 30 lakhs should **be disclosed in the report** of the **approving authority** for financial year 20X1-X2 to enable users of financial statements to make proper evaluations and decisions.

Special Cases

Question 10

The Board of Directors of New Graphics Ltd. in its Board Meeting held on 18th April, 20X1, considered and approved the Audited Financial results along with Auditors Report for the Financial Year ended 31st March, 20X1 and recommended a dividend of ₹ 2 per equity share (on 2 crore fully paid up equity shares of ₹ 10 each) for the year ended 31st March, 20X1 and if approved by the members at the forthcoming Annual General Meeting of the company on 18th June, 20X1, the same will be paid to all the eligible shareholders.

Discuss on the accounting treatment and presentation of the said proposed dividend in the annual accounts of the company for the year ended 31st March, 20X1 as per the applicable Accounting Standard and other Statutory Requirements.

Answer

As per the amendment in **AS 4** "Contingencies and Events Occurring After the Balance Sheet Date" vide Companies (Accounting Standards) Amendments Rules, 2016 dated 30th March, 2016, the events which take place after the balance sheet date, are sometimes reflected in the financial statements because of statutory requirements or because of their special nature.

However, **dividends declared after the balance sheet date but before approval** of financial statements are **not recognized as a liability** at the balance sheet date because **no statutory obligation exists at that time**.

Hence such dividends are **disclosed** in the **notes to financial statements**.

No, provision for proposed dividends is not required to be made. Such proposed dividends are to be **disclosed in the notes to financial statements**. Accordingly, the dividend of ₹ 4 crores recommended by New Graphics Ltd. in its Board meeting on 18th April, 20X1 shall not be accounted for in the books for the year ended 31st March, 20X1 irrespective of the fact that it pertains to the year ended 31st March, 20X1 and will be paid after approval in the Annual General Meeting of the members / shareholders.

Question 11

The accounting year of Dee Limited ended on 31st March, 20X1 but the accounts were approved on 30th April, 20X1. On 15th April, 20X1 a fire occurred in the factory and office premises. The loss by fire is of such a magnitude that it was not possible to expect the enterprise Dee Limited to start operation again.

State with reasons, whether the loss due to fire is an adjusting or non- adjusting event and how the fact of loss is to be disclosed by the company in the context of the provisions of AS-4 (Revised).

Answer

As per **AS 4** (Revised) "Contingencies and Events occurring after the Balance Sheet Date", an **event occurring after the balance sheet date** should be an **adjusting event even if it does not reflect any condition existing on the balance sheet date**, **if** the event is such as to indicate that the fundamental accounting assumption of **going concern is no longer appropriate**.

The fire occurred in the factory and office premises of an enterprise after 31st March, 20X1 but before approval of financial statement of 30.04.20X1. The loss by fire is of such a magnitude that it is not reasonable to expect the Dee Ltd. to start operations again, i.e., the **going concern assumption is not valid**. Since the fire occurred after 31.03.20X1, the loss on fire is not a result of any condition existing on 31.03.20X1. But the loss due to fire is **an adjusting event** the entire accounts need to be prepared on a liquidation basis with adequate disclosures by the company by way of note in its financial statements in the following manner:

"Major fire occurred in the factory and office premises on 15th April, 20X1 which has made impossible for the enterprise to start operations again. Therefore, the financial statements have been **prepared on liquidation basis.**"

Mixed Topics

Question 12

The financial statements of PQ Ltd. for the year 20X1-X2 approved by the Board of Directors on 15th July, 20X2. The following information was provided:

(i) A suit against the company's advertisement was filed by a party on 20th April, 20X2, claiming damages of ₹ 25 lakhs.

(ii) The terms and conditions for acquisition of business of another company have been decided by March, 20X2. But the financial resources were arranged in April, 20X2 and amount invested was ₹ 50 lakhs.

(iii) Theft of cash of ₹ 5 lakhs by the cashier on 31st March, 20X2 but was detected on 16th July, 20X2.

(iv) Company sent a proposal to sell an immovable property for ₹ 40 lakhs in March, 20X2. The book value of property was ₹ 30 lakhs on 31st March, 20X2. However, the deed was registered on 15th April, 20X2.

(v) A, major fire has damaged the assets in a factory on 5th April, 20X2. However, the assets are fully insured.

With reference to AS-4 "Contingencies and events occurring after the balance sheet date", state whether the above mentioned events will be treated as contingencies, adjusting events or non-adjusting events occurring after the balance sheet date.

Answer

(i) Suit filed against the company is a contingent liability but it was not existing as on balance sheet date as the suit was filed on 20th April after the balance Sheet date. As per **AS 4**, 'Contingencies' used in the Standard is restricted to conditions or situations at the balance sheet date, the financial effect of which is to be determined by future events which may or may not occur. Hence, it will have no effect on financial statements and will be a **non-adjusting event**.

(ii) In the given case, **terms and conditions** for acquisition of business were **finalised** and carried out **before the closure of the books** of accounts but transaction for payment of financial resources was effected in April, 20X2. This is clearly an event occurring after the balance sheet date. Hence, **necessary adjustment to assets and liabilities** for acquisition of business is necessary in the financial statements for the year ended 31st March 20X2.

(iii) Only those significant events which occur between the balance sheet date and the date on which the financial statements are approved, may indicate the need for adjustment to assets and liabilities existing on the balance sheet date or may require disclosure. In the given case, theft of cash was **detected on 16th July, 20X2 after approval of financial statements** by the Board of Directors, hence **no treatment is required.**

(iv) Adjustments to assets and liabilities are not appropriate for events occurring after the balance sheet date, if such events do not relate to conditions existing at the balance sheet date. In the given case, sale of immovable property was under **proposal stage** (negotiations also not started) **on the balance sheet date**. Therefore, **no adjustment to assets for sale** of immovable property is required in the financial statements for the year ended 31st March, 20X2.

(v) The condition of fire occurrence was **not existing on the balance sheet** date. **Only the disclosure** regarding event of fire and loss being completely insured may be given **in the report of approving authority**.

Question 13

Smart Ltd. closes its books of accounts every year on 31st March. The financial statements for the year ended 31st March, 20X4 are to be approved by the approving authority on 30th June 20X4. During the first quarter of 20X4-20X5, the following events/transactions has taken place. The accountant of the company seeks your guidance for the following:

(i) Smart Ltd. has an inventory of 50 stitching machines costing at ₹ 5,500 per machine as on 31st March, 20X4. The company is expecting a heavy decline in the demand in next year. The inventories are valued at cost or net realisable value, whichever is lower. During the month of April 20X4, due to fall in demand, the prices have gone down drastically. The company has sold 5 machines during this month at a price of ₹ 4,000 per machine.

(ii) A fire has broken out in the company's godown on 15th April, 20X4. The company has estimated a loss of ₹ 25 lakhs of which 75% is recoverable from the Insurance company.

(iii) The company has entered into a sale agreement on 30th March, 20X4 to sell a property for a consideration

of ₹ 7,50,000 which is being carried in the books at ₹ 5,50,000 at the year end. The transfer of risk and reward and sale is complete in the month of May 20X4 when conveyance and possession get completed.

(iv) The company has received, during the year 20X2-20X3, a government grant of ₹ 15 lakhs for purchase of a machine. The company has received a notice for refund of the said grant on 15th June, 20X4 due to violation of some of the conditions of grant during the year 20X3-20X4.

You are required to state with reasons, how the above transactions will be dealt with in the financial statement for the year ended 31st March 20X4.

Answer

Events occurring after the balance sheet date are those significant events, both favourable and unfavourable, that **occur between the balance sheet date and the date on which the financial statements are approved** by the Board of Directors in the case of a company, and, by the corresponding approving authority in the case of any other entity.

Assets and liabilities should be adjusted for events occurring after the balance sheet date that provide **additional evidence** to assist the estimation of amounts relating to conditions existing at the balance sheet date or that indicate that the fundamental accounting assumption of going concern is not appropriate.

In the given case, financial statements are approved by the approving authority on 30th June 20X4.

On the basis of above principles, following will be the accounting treatment in the financial statements for the year ended at 31st March 20X4:

(i) Since on 31st March 20X4, Smart Ltd. was expecting a heavy decline in the demand of the stitching machine. Therefore, decline in the value during April, 20X4 will be considered as an **adjusting event**. Hence, Smart Ltd. needs to adjust the amounts recognized in its financial statements w.r.t. net realisable value at the end of the reporting period. Accordingly, **inventory should be written down to ₹ 4,000 per machine. Total value of inventory in the books will be 50 machines x ₹ 4,000 = ₹ 2,00,000**.

(ii) A fire took place after the balance sheet date i.e. during 20X4-20X5 financial year. Hence, corresponding financials of 20X3-20X4 financial year **should not be adjusted for loss occurred due to fire**. However, in this circumstance, the going concern assumption will be evaluated. In case the going concern assumption is considered to be appropriate even after the occurrence of fire, no disclosure of the same is required in the financial statements.

(iii) Since the transfer of risk and reward and sale was complete in the month of May, 20X4 when conveyance and possession got complete, no revenue should be recognised with respect to it in the financial statements of 20X3-20X4. However, a **disclosure for the same should be given by the entity**.

(iv) Since the notice has been received after 31st March but before 30th June 20X4 (approval date), the said grant shall be **adjusted in the financial statements** for financial year 20X3-20X4 because the violation of the conditions took place in the financial year 20X3-20X4 and the company must be aware of it.

Question 14

For five companies whose financial year ended on 31st March, 20X1, the financial statements were approved by their approving authority on 15th June, 20X1.

During 20X1-20X2, the following material events took place:

(a) A Ltd. sold a major property which was included in the balance sheet at ₹ 1,00,000 and for which contracts had been exchanged on 15th March, 20X1. The sale was completed on 15th May, 20X2 at a price